EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Local Government Unit of Santa Ana was created by virtue of executive Order No. 289, signed by President Elpidio Quirino on October 21, 1949, which took effect on January 1, 1950.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Santa Ana, Cagayan for CY 2021 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotment and obligations of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2021, with comparative figures for CY 2020, are as follows:

	2021	2020	Increase (Decrease)
Financial Position			
Assets	687,853,476.60	571,171,880.47	116,681,596.13
Liabilities	204,691,737.13	159,304,524.27	45,387,212.86
Government Equity	483,161,739.47	411,867,356.20	71,294,383.27
Financial Performance			
Income	225,805,950.90	209,742,462.64	16,063,488.26
Expenses	190,601,755.80	181,981,507.20	8,620,248.60
Appropriations, Allotments and Obligations			
Appropriations	264,859,748.58	250,122,042.60	14,737,705.98
Allotments	264,859,748.58	250,122,042.60	14,737,705.98
Obligations	216,594,856.00	182,233,613.61	34,361,242.39

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Santa Ana, Cagayan due to: (1) non-reconciliation of difference between the Report on Physical Count of Property, Plant and Equipment and accounting records amounting to P16,863,219.71; (2) inclusion of unserviceable properties amounting to P17,063,460.83 in the Property, Plant and Equipment account; and (3) existence of long outstanding receivables amounting to P1,278,952.83.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. No retention money nor warranty security were secured/required by the Municipality from the suppliers of goods amounting to P8,830,200.00, contrary to Section 62.1 of the Republic Act 9184, thus, exposing the government to risk of possible loss arising from uncorrected defects.

   We recommended that the Management:

   a) Require the suppliers/contractors to post warranty security in accordance with Section 62 of the IRR of RA 9184, which shall remain effective for a minimum period of one (1) year from the date of acceptance by the Procuring Entity of the delivered supplies;

   b) Review all procurement contracts during CY2021 and ensure that all goods procured are covered with warranty securities.

   c) Comply with the rules on warranties and all other related requirements provided in the IRR of RA 9184.

2. Retention money deducted from the progress billing for various projects under the 20% Development Fund, with a total contract cost of P32,980,449.69, were either insufficient or not retained, contrary to Section 6 of the Republic Act 9184, thus, exposing the government to risk of possible loss arising from uncorrected defects.

   We recommended that the Management require the contractors to refund the required retention money pursuant to Section 6 of the IRR of RA 9184, which shall be due for release upon final acceptance of the works and comply with the rules on warranties and all other related requirements provided in the IRR of RA 9184. Likewise, we recommended that the Management review all payments made to different contractors and ensure that the retention money for each project is sufficient.

3. The Municipality has granted financial assistance to its officials and employees in CY 2021 amounting to P3,640,000.00 without complete documentation, contrary Section 4 of the Presidential Decree No. 1445 and COA Circular No. 2012-001 dated June 14, 2012, thus, the validity and propriety of the disbursement could not be ascertained.

   We recommended that the Management submit legal basis to support the grant of the Financial Assistance to all its officials and employees and barangay personnel and all other required documents necessary to establish the validity, legality and propriety of the payment amounting to P3,640,000.00 to avoid disallowance in audit, and henceforth, disburse only the claims against government funds with complete documentation.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	962,697.05	-	962,697.05	-	100%
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances	-	-	-	-	
Prior Years	12,057,056.38	3,465,308.38	-	15,522,364.76	0%
Current Year	-	-	-	-	
Total	-	-	-	-	
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

F. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of fourteen (14) audit recommendations embodied in the prior years' audit reports, nine (9) were fully implemented, four (4) were partially implemented and one (1) was not implemented.